

Electronics Industry in 2010: Power and Telecom to Lead

How will be 2010 for India's electronics industry? Which sectors will generate growth? To get these answers, we conducted an industrywide survey to know the views of the industry veterans. Here's what they think about the future of Indian electronics industry in 2010

■ SUDESHNA DAS

Last year, same time, the economic slowdown was just about setting in and I had written that how the slowdown could be a decisive test for the Indian electronics industry and how tough players had been treating it as an opportunity to streamline their operations and reinvent themselves. Over the course of one year, it proved to be the worst crisis the industry has faced in a long time.

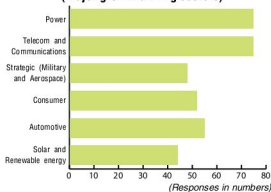
An economic downturn is a normal part of the economic cycle. Thus, we now perceive a gradual revival of the economy. This sentiment was reflected in our survey as well. It indicated that optimism among senior executives and decision makers is on the rise. Around three-fourth of the respondents saw a potential turnaround within the first quarter of 2010.

The electronics sector has already faced a paradigm shift in customer base due to participation of rural and tier II and III towns in the 'India growth' story. Veterans like K.S. Mittal, director, Mobile Communication (India) Pvt Ltd, says, "The Indian economy is based on agriculture and its growth is bound to increase with the buying capacity of rural population. The Indian electronics sector should be focused to cater to this segment."

India is the second largest country in terms of the number of small and medium businesses (SMBs)—totaling up to 35 million. With more than 70

per cent of the SMBs preferring 'one-stop shops' to buy electronics equipment for their offices, the importance of this segment as customer is also increasing for the Indian electronics industry. In an attempt to provide full range of electronics products and computing solutions to SMB owners at 'one-stop', LG Electronics India Pvt Ltd (LGEIL) has initiated LG SMB Solution. The company plans to invest two billion rupees on this initiative over the next three years. "We aim to support the Indian B2B segment with our collective offering. We are confident that our technological strength supported by market insight and research will enable us to offer SMB-specific and vertical-specific products, creating an effective business environment for SMBs in India. The single source buying and service support will enhance the comfort of Indian SMB customers," says M.B. Shin, managing director, LGEIL.

Sectors in Demand
(Major growth driving sectors)



Delving deeper into the sector-specific prediction, the survey identified telecommunication and power electronics as the most demand-generating sectors, followed by automobile. In fact, most of the respondents expect solar and renewable energy sub-segments to drive the power saga further. In addition, sectors like strategic, aerospace and defence, along with medical and instrumentation, are also expected to gain more importance. The consumer electronics sector is likely to maintain status quo with a bent towards 'Indianisation'.

Methodology

The sample of the survey was collected from 75 randomly selected companies, which is a microcosmic representation of India's electronics sector. Senior technical executives from the selected organisations were asked standard questions related to:

- Expected growth areas
- Areas of current growth
- Growth strategy
- Factors on which the growth depends

The responses obtained from the interviews were then collated and a trend analysis was carried out, the results of which are presented here.